

China Core + STAR Market Growth

A two-fund concentrated China strategy pairing abroad,diversified core allocation to Chinese equities across all listing venues with a satellite allocation to China's onshore science-and-technology growth board. The result is a single-country portfolio balancing large-cap breadth against innovation-led, higher-volatility growth exposure.

PORTFOLIO SNAPSHOT

%

BLEND
ED
EXPENSE
RATIO

0.64%

17

Investment
Horizon

5+ Years

#

UNDERLYING
ETFS

2

TOTAL
HOLDINGS

626

Blended expense ratio is the weighted average of each ETF's own fact sheet expense ratio at target weights (80% MCHI / 20% KSTR). *30-Day SEC Yield is disclosed only by MCHI (1.61%); KSTR is an accumulating UCITS fund and does not report a comparable SEC yield figure, so a blended yield cannot be reliably calculated. Fund data as of Aug 31, 2026 fact sheets;

KEY FACTS

17

OLDEST
INCEPTION

Mar 29,
2011

17

NEWEST
INCEPTION

May 26,
2021

MODEL
STYLE

Core +
Satellite

COUNTRY
EXPOSURE

China
~100%

"Country Exposure" reflects that both underlying funds invest exclusively in Chinese equities — MCHI across H-shares, ADRs and Red Chips; KSTR in Shanghai STAR Market A-shares (see p.2 Sector Allocation).

PORTFOLIO COMPOSITION

MCHI — iShares MSCI China ETF				80%
EXPOSURE	EXPENSE RATIO	INCEPTION	HOLDINGS	
Broad China Equity (All Share Classes)	0.59%	Mar 29, 2011	574	
KSTR — KraneShares ICBCUBS SSE STAR Market 50 Index UCITS ETF				20%
EXPOSURE	EXPENSE RATIO	INCEPTION	HOLDINGS	
China STAR Market Tech (A-Shares)	0.82%	May 26, 2021	52	

WHY THIS PORTFOLIO?

Concentrated China View

Expresses a single, high-conviction view on Chinese equities rather than diluting exposure across broader EM.

Broad Core

80% MCHIsleeve spans 574 holdings across mega-cap internet, financials and consumer names listed in Hong Kong, the U.S. and mainland China.

Tech Self-Sufficiency Tilt

20% KSTR sleeve adds concentrated exposure to China's onshore semiconductor and hard-tech IPO board.

Core + Satellite Structure

Pairsalower-cost diversified core with a higher-cost, higher-growth satellite sleeve in a single blended model.

INVESTMENT OBJECTIVE

This model seeks long-term capital appreciation concentrated exposure to Chinese equities by combining a broad, diversified core allocation across all major China listing venues (MCHI) with a satellite allocation to the 50 largest companies on the Shanghai STAR Market (KSTR) — balancing large-cap breadth with innovation-led, higher-volatility science and technology growth.

Target weights: 80% MCHI / 20% KSTR, rebalanced periodically to target.

Source: BlackRock/iShares (ishares.com) MCHI Fund Fact Sheet (as of Aug 31, 2026); KraneShares (kraneshares.eu) KSTR Fund Fact Sheet (as of Aug 31, 2026). Past performance is not indicative of future results. This material is for informational purposes only and does not constitute investment advice.

Portfolio Composition & Key Insights

Sector	Allocation (%)
Information Technology	27.10%
Consumer Discretionary	20.31%
Communication	15.26%
Financials	15.17%
Health Care	4.75%
Industrials	4.72%
Materials	4.58%
Energy	2.57%
Consumer Staples	2.27%
Utilities	1.39%
Real Estate	1.19%

Country / Listing Exposure	Exposure (%)
China — Broad (H-Shares / ADR / Red Chip) via MCHI	80.00%
China — STAR Market A-Shares via KSTR	20.00%

Both underlying funds are single-country China strategies; the blend therefore carries ~100% mainland China corporate exposure, split across offshore listing venues (H-shares/ADRs/Red Chips via MCHI) and onshore STAR Market A-shares (via KSTR).

TOP 10 HOLDINGS (BLENDED, LOOK-THROUGH)				
#	COMPANY	SECTOR	VIA	PORTFOLIO WT.
1	Tencent Holdings	Communication	MCHI	11.64%
2	Alibaba Group Holding	Consumer Discretionary	MCHI	8.22%
3	China Construction Bank H	Financials	MCHI	2.94%
4	Cambricon Technologies-A	Information Technology	KSTR	1.86%
5	Industrial & Commercial Bank of China	Financials	MCHI	1.85%
6	Meituan	Consumer Discretionary	MCHI	1.83%
7	Xiaomi Corp	Information Technology	MCHI	1.82%
8	Advanced Micro-Fabrication-A	Information Technology	KSTR	1.70%
9	Hygon Information Technology-A	Information Technology	KSTR	1.70%
10	PDD Holdings ADS	Consumer Discretionary	MCHI	1.60%
Top 10 Weight (of 626 combined underlying holdings)				35.16%

EXPENSE RATIO

0.64%

HOLDINGS

626

UNDERLYING ETFS

2

Expense ratio is the weighted average at target weights (80/20). P/E, P/B, Beta and 3Y Std. Dev. are not shown blended — KSTR's fact sheet does not disclose these metrics. For reference, MCHI alone reports P/E 12.95x, P/B 1.58x, Beta (3y) 0.41, and Std. Dev. (3y) 21.99%.

RISK CONSIDERATIONS

Single-country concentration:
100% of the blend is invested in Chinese equities; the model carries no diversification across other countries or developed markets.

Sector concentration:
Information Technology is ~27% and Consumer Discretionary ~20% of blended weight, with the KSTR sleeve alone ~93% concentrated in Information Technology.

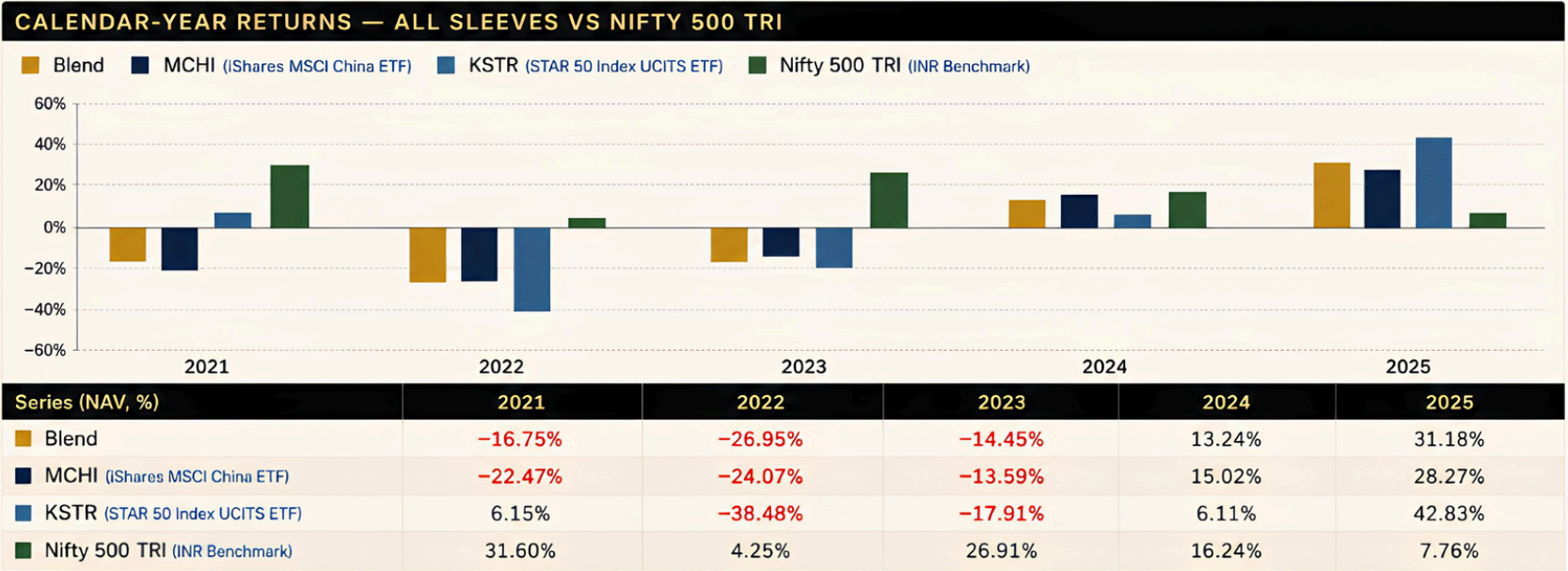
STAR Market volatility:
KSTR's 1-year NAV return of +132.20% illustrates the scale of swings possible on China's STAR Market growth board; this is a higher-volatility satellite sleeve.

Regulatory & political risk:
Chinese equities are subject to variable interest entity (VIE) structure risk, capital controls, and Chinese government regulatory intervention.

✓ SUITABLE FOR	
✓ Investors seeking a concentrated, single-country China view	✓ Investors comfortable with sector and single-country concentration
✓ Portfolios using China as a satellite allocation within a broader EM sleeve	✓ Investors comfortable with STAR Market volatility
✓ Investors with a 5+ year horizon	✓ Growth-oriented, higher risk-tolerance mandates

Important Information. Investments in ETFs are subject to market risks, including single-country concentration, sector concentration, regulatory and currency risk. Past performance is not indicative of future results. Please read each fund's prospectus and fact sheet carefully before investing.

ANNUALIZED PERFORMANCE (NAV. %) — AS OF AUGUST 31, 2026							
ETF	Weightage	3M	6M	1Y	2Y CAGR	3Y CAGR	5Y CAGR
MCHI	80%	-0.69%	-7.35%	-10.75%	14.37%	6.81%	-4.81%
KSTR	20%	-3.43%	14.29%	30.11%	55.85%	21.63%	-0.42%
BLEND	--	-1.24%	-3.02%	-2.58%	22.67%	9.77%	-3.93%
NIFTY 500 TRI	--	4%	1.87%	5.34%	0.14%	12.55%	11.13%



🏆 KEY FACTS

UNDERLYING ETFS
2

TOTAL HOLDINGS
626

BLENDEN EXPENSE RATIO
0.64%

MCHI 30D SEC YIELD
1.61%

📖 GLOSSARY — KEY TERMS ON THIS PAGE

NAV Total Return

Performance based on each fund's net asset value, reflecting the value of underlying holdings, as reported on each fund's own fact sheet.

Blended Portfolio

A weighted average of the two underlying funds' figures at target weights — see methodology note above.

Source: BlackRock/iShares (ishares.com) MCHI Fund Fact Sheet (as of Aug 31, 2026); KraneShares (kraneshares.eu) KSTR Fund Fact Sheet (as of Aug 31, 2026). Past performance is not indicative of future results. This material is for informational purposes only and does not constitute investment advice.